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DEPARTMENT OF STATE

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MEMORANDUM OF CONVERSATION

July 25, 1950

Subject: Problems Arising out of President's Statement of June 27 with Respect to Formosa

Participants: Dr. V. K. Wellington Koo, Chinese Ambassador

Mr. Dean Rusk, FE
Mr. Fulton Freeman, CA

Copies to: S G S/A S/P EUR NEA IAD FE

Department of Defense, General Burns
Amembassy, Taipei
CA

Ambassador Koo called this morning by appointment and opened the conversation by informing me that he expected to leave for Formosa on July 28 for a brief period of consultation with his Government. The Ambassador said that he intended to remain approximately two weeks in Taipei and would then return to Washington. He then referred to the Chinese Embassy's note of July 7, 1950 touching upon certain problems which had arisen as a result of the President's statement of June 27 with respect to Formosa and inquired whether the U.S. Government had formulated decisions on the various points raised.

I informed the Ambassador that certain of the points raised in the Chinese Embassy's note had already been replied to through our Charge at Taipei and that I had expected to call in the Ambassador shortly and inform him of the substance of our replies. I stated that it had been decided to reply to the Chinese Government in piecemeal fashion in order to minimize the security risk and to obviate the necessity of a full and formal note which might be more susceptible of leaks. As to the points on which replies had already been sent, I stated that the first concerned

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the question of the off-shore islands. In this regard, we had informed the Chinese Government that we could not ourselves assume responsibility for committing U.S. forces to their defense; but that we would not, however, take any steps to prevent the National Government defending those islands against offensive action from the mainland or from supporting such operations from Formosa. As to the question of reconnaissance, I stated that we had informed the Chinese Government that the U.S. Government would not stand in the way of air and naval reconnaissance by the Chinese Government. I also stated that considerable progress was being made with respect to the question of preventing military and strategic supplies from reaching the Chinese Communists. As to the question of stopping ships at sea, I informed the Ambassador that a reply on this point would be transmitted to the Chinese Government in the near future.

In response to the Ambassador's question with regard to the desire of his Government to carry out air bombardment from bases on Formosa, I stated that we had already informed his Government that the U.S. could not agree to the Nationalists' taking such action from Formosa as it would be contrary to the President's directive of June 27. In further explanation, I stated that the military advantage of having the Seventh Fleet patrol the waters between Formosa and the mainland, in our opinion, far outweighed the possible military advantage to be derived from projected bombing raids from Formosan airfields.

Ambassador Koo inquired, with respect to his forthcoming trip to Formosa, whether I had any suggestions which I would care to make as to how the Chinese Government might align its policy more with that of the U.S. in the present critical situation in the Far East. Before responding I inquired whether the Ambassador would care to explain the importance of the recent changes in the Chinese Government which had just been announced from Taipei. Without stating specifically what changes had actually been made, the Ambassador replied in broad generalizations to the effect that these changes represented: (1) a further step to democratize and liberalize the Government; (2) an effort to remove misunderstandings abroad regarding the character of the Chinese Government; (3) an earnest endeavor to bring more liberal elements into the Government irrespective of party affiliations; and (4) an effort to mitigate if not remove the dominating influence of the Kuomintang in the Chinese Government. I listened to the Ambassador's exposition without comment

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except to state that I would appreciate receiving the details regarding these governmental changes when they were available.

In answer to the Ambassador's previous question, I stated that if I were the Ambassador I should, on my return to Formosa, urge that all considerations be subordinated to establishing an effective defense of Formosa. For the time being, I pointed out, the question of any return to the mainland in force by the National Government was rather remote and that, therefore, every ounce of effort and strength should be concentrated on the defense of the island. I said that the Seventh Fleet could, of course, be of great assistance in preventing any attack, but that it was essential that our naval effort be supported by the people and Government on Formosa who might in the last analysis have the decisive role to play. I emphasized that this problem was not purely a military one but that the loyal support of the people was essential to a successful defense of the island. I added in this regard that the Department was somewhat disturbed over the apparent weakening of popular support of the Government during the past few weeks. I concluded that the job was a dual one: to stiffen the military front and, at the same time, to improve the home front.

In response to the Ambassador's question as to whether Nehru's efforts at mediation had terminated or whether the newspaper report that Secretary Acheson had received a further message from Nehru was correct, I replied that the New York Times story on this subject was completely mistaken. I stated that no further message to the Secretary had been received and that the matter was being treated as closed. In further explanation of our position in this matter, I indicated that the Department was well aware that the projected mediation by India did not in fact appear to Nehru as a "deal" inasmuch as India had consistently promoted the representation in the UN of the Chinese Communists. By the same token, however, that for the U.S. any such agreement would have been a "deal" because it would have required a complete reversal in our established policy. The Ambassador replied that the Chinese Government felt that the U.S. position in this matter had been eminently sound -- both for the U.S. and the UN. He added that, in his opinion, Nehru had shown confused thinking and his proposal would have hamstrung the UN if the move had succeeded.

The Ambassador then brought up the question of the presence of Chinese Nationalist troops in northern Burma

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just inside the boundary with China. He stated that his Government had indicated an appreciation of the U.S. point of view but desired to gain a little time before taking any action. He inquired whether the Burmese had again approached us on this matter. I replied that there had been no formal approach in the first place; that there had been no change either in the situation or in the Burmese views insofar as we were aware. I added that our concern rested on the fact that the Chinese Nationalist forces in Burma were not strong enough to return to Yunnan on their own and challenge Chinese Communist forces, but that on the other hand they were in sufficient number possibly to tempt the Chinese Communists to cross into Burma in pursuit of them. The Ambassador indicated that he would pursue the matter with his Government on arrival in Formosa.

The Ambassador then inquired what the U.S. view would be with regard to a continuation on the part of the Chinese Government to aid and supply Nationalist guerrilla forces on the mainland. In response to my query as to the nature of these guerrillas, what percentage were bandits and how many were motivated by political conviction, the Ambassador replied that his personal estimate would be that about two-thirds of the forces were loyal to the Nationalist cause and one-third were guerrillas of the bandit variety who were motivated more by selfish reasons. As to the question of cohesiveness and leadership, the Ambassador stated that the guerrillas in the southwest were not nearly as cohesive and well led as those in the eastern central region where a commander-in-chief was active over three or four provinces. He indicated that these guerrillas maintained a close connection with forces on Formosa, although their effectiveness had not been fully tested. As to the question of any support from these guerrillas in the event of a Communist attack on Formosa, the Ambassador stated they would undoubtedly attack the invasion coast ports of the Communists from the rear if so instructed. He stated that the recent amphibious landings which had been effected from Formosa were for the purpose of opening supply lines to these guerrilla forces and raising their morale. The Ambassador also stated that the evidence indicated these guerrillas were being supported by the local peasantry as well as by refugees who had fled Communist-held cities. The Ambassador concluded that the Chinese Government was desirous of continuing the supplying of these guerrilla forces but did not wish to run contrary to U.S. wishes in this matter. I replied that I could not give him an answer at this time but that I would look into the matter.

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I then inquired of the Ambassador what in his opinion was going on in the minds of the Chinese Communist leaders in Peiping, pointing out that they must realize that if they continued along their present policy lines they would unquestionably lose much of north China to the Soviets. In response Ambassador Koo stated that some of the Chinese Communist leaders were dissatisfied with present policy and concerned over the future of China but that these persons were in a small minority and were not admitted into the high council chambers as equals with the pro-Soviet group and the Soviet advisers. He pointed out that persons in such key positions as those held by Kao Kang and Liu Shao-chi, both strongly pro-Soviet, wielded perhaps more power than Mao himself. The Ambassador also pointed to the absence of Madame Sun Yat-sen from recent meetings in Peiping, where she would normally be in attendance, as revealing an increased dissatisfaction on her part. He also mentioned the case of Huang Yen-p'ei, "leftist, progressive fellow-traveler", who at first had praised Mao but who has not been heard from for several months. He also mentioned Li Chi-sen and Ts'ai T'ing-k'ai as examples of those who thought they could cooperate with the Chinese Communists and have since found out different. The Ambassador did state, however, that such people would form the backbone of resistance to the Communists in the event that guerrillas on the mainland received adequate support.

In concluding the conversation, I informed Ambassador Koo of the arrival in Taipei of Admiral Jarrett as senior Military Attaché and Naval Attaché and urged the Ambassador to impress on his Government the need for a maximum defense effort and also for maximum cooperation with our officials in Formosa.

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